

Market Insights

Weekly Market Commentary



October 27th, 2025



» Sarvesh Tikun, Head of Market Insights

Global Financial Markets Weekly Review: Week Ending Oct. 27, 2025

Fixed Income: Bond markets were broadly stable this week, supported by easing inflation and continued speculation about upcoming Federal Reserve rate cuts. Short-term Treasuries maintained solid demand as yields edged lower, with the 2-year settling near 3.48%. Intermediate-term Treasuries also rallied as investors sought safety amid muted equity volatility. Corporate bonds remained resilient, benefiting from strong inflows into taxable bond funds despite narrower credit spreads. Meanwhile, mortgage-backed securities advanced modestly on cooling inflation, though refinancing activity limited upside potential. Money market funds and CDs continue to offer competitive yields near 4%, but investor appetite is shifting toward slightly longer-duration instruments as the Fed's easing cycle progresses.

Commodities: Energy markets were driven by geopolitical tensions and mixed supply dynamics. Brent crude surged over 7% to \$65.87 per barrel after new U.S. sanctions on Russia's Rosneft and Lukoil sparked fears of tighter supply, while WTI rose above \$61. Natural gas prices slipped below \$3.40/MMBtu amid high inventories and mild weather forecasts, signaling a soft near-term outlook. In metals, rare earth equities rebounded sharply following China's export control announcement, with the REMX ETF up 3%. Silver climbed 4% to \$34.80 per ounce, while gold consolidated near record highs above \$3,100/oz amid central bank demand. Agricultural commodities, particularly soybeans, saw renewed volatility tied to U.S.–China trade negotiations and rising South American competition. Power markets experienced record intraday volatility in SPP, with prices swinging from –\$50 to \$3,000/MWh as wind generation fluctuated sharply during seasonal maintenance outages.

Currency: Currency markets reflected diverging monetary policy expectations. The British pound strengthened nearly 1% to 1.33 as softer U.S. inflation data fueled Fed rate-cut optimism, while the euro remained range-bound below 1.17 amid government shutdown concerns and mixed ECB guidance. The Japanese yen weakened further despite an expected U.S. rate cut, with carry trades staying attractive and domestic political shifts weighing on sentiment. The Canadian dollar fell past 1.40 against the USD, pressured by weaker oil prices and rising expectations of Bank of Canada easing. Meanwhile, gold (XAU/USD) saw its first meaningful correction in months, slipping about 5% from record highs due to profit-taking and a firmer U.S. dollar.

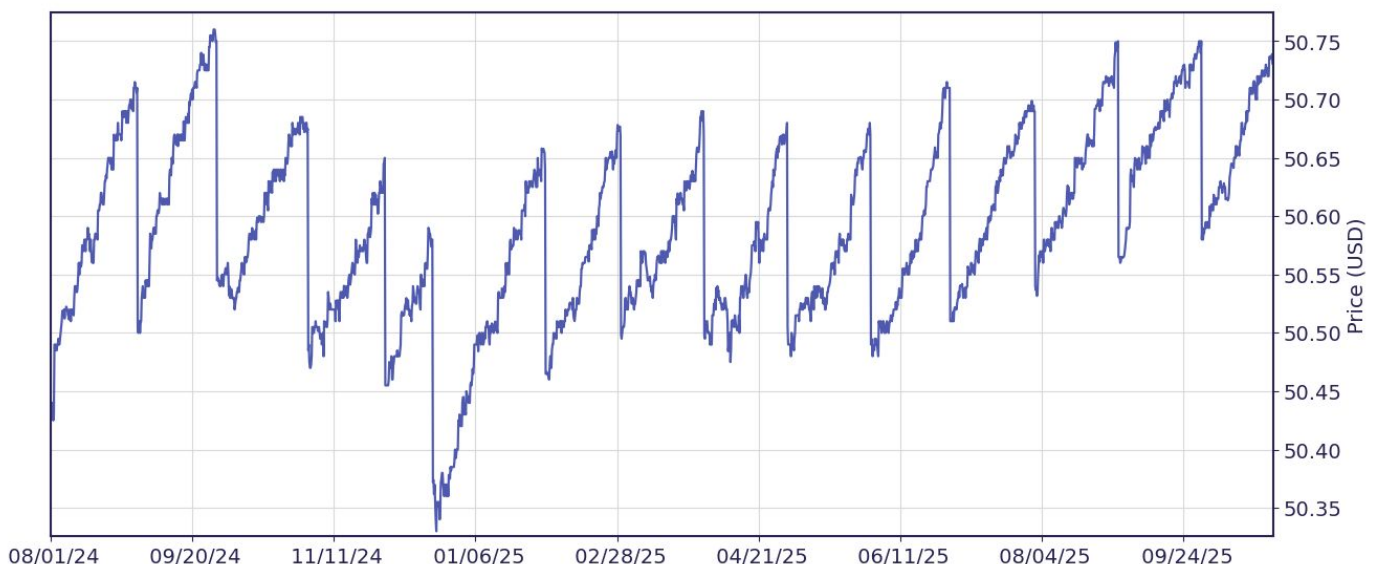
» Shrutee Sangeeta Behera, Fixed Income Analyst

Reduced Post-Pandemic Equity Volatility Causing Less Demand for MMFs

For decades, money market funds have been the go-to solution when it comes to acquiring short-term cash. They offer both the benefits of high liquidity and principal preservation, which institutional and retail investors have relied upon in times of uncertainty. In October 2025, US MMF assets still command over \$7 trillion, with many of these funds delivering approximately 4% on their seven day yields. We observe funds like the Fidelity Government Money Market Fund (SPAXX), one of the largest retail MMFs today, which offers a competitive 7 day yield of 4.01% while consistently maintaining the stable \$1 NAV expected by investors. This is a fairly reasonable return considering that it amounts to a cash equivalent. However, it is important to note that said yields have peaked already, having achieved their highs back in 2023. As the Federal Reserve continues its rate-cutting cycle, the appeal of investing in MMFs is declining. Equity markets have settled into a rhythm that's significantly calmer than the patterns observed during the pandemic and as investors have been growing more comfortable with risk, as shown by the VIX trading at levels that are relatively subdued, the safety premium of a 4% MMF isn't quite as attractive as it once was.

As investors reconsider allocation strategies, short duration bond products like the iShares Ultra Short Duration Bond Active ETF (ICSH) are seen as an appealing middle ground. They offer a little more yield potential (4.75%) than MMFs do while maintaining relatively low duration risk and daily liquidity. ICSH is a way to capture returns that are incrementally higher without venturing too far out the risk curve and as MMF yields continue to compress further in response to Fed cuts, this kind of product stands to benefit from investor rotation outside of the traditional money-market vehicles. While MMFs continue to deliver safe liquidity and a modest yield, their relative attractiveness is waning in this post-pandemic era. With short-term rates continuing to decline and market risk perception normalizing, we could potentially arrive at a plateau or even decline in MMF demand.

ICSH: +0.60% since 2024-8-1



» Sahaj Patadia, Fixed Income Analyst

Locking in Higher Yields before Federal Reserve Cut Interest Rates

With the Federal Reserve expected to continue cutting interest rates after its first reduction in September, now is an important time for savers to review where they keep their cash. Deposit rates typically follow the Fed's benchmark rate, meaning yields on high-yield saving accounts and certificates of deposit are likely to decline soon. While traditional banks still offer very low returns (just .40%), many online banks are paying around 4% or more which is more than the inflation rate. Choosing between a high yield savings account and a C.D. depends on your financial goals as well. C.D.s provide the security of a fixed rate making it better because customers don't have to analyze to gain returns on their invested capital. They are better suited for money you don't need to touch in the short term.

For those looking for higher yields, short term C.D.s can be attractive because rates are higher for the short terms. Savers can also consider "no-penalty" C.D.s for more flexibility to build a C.D. ladder to balance liquidity and steady returns. The offers vary across banks for example, Goldman Sachs offers 4.1% on a 14 month C.D. while Synchrony pays 4.1% on a six-month term. No matter what the bank is it's important for individuals to confirm that the bank or credit union is federally insured by the FDIC or NCUA to protect all deposits.

TRS3.SW: +6.29% since 2024-8-1



» Akaash Dash, Fixed Income Analyst

U.S. Corporate Bond Market Resilient Despite Pressures and Uncertainty

iShares iBoxx \$ Investment Grade Corporate Bond ETF (LQD) provides broad exposure to U.S. investment grade corporate bonds. It has provided a return of approximately 2.87% from early August through late October. Currently trading at \$112.72, LQD's performance has been driven mainly by the Fed's shift toward monetary easing starting in September 2025.

The Fed's dovish outlook has reduced credit spreads to historically tight levels of around 74 bps in Q3 of 2025, reaching the narrowest in fifteen years. Investors looking for yields have kept large allocations to corporate bonds, with capital inflows into taxable bond funds reaching around \$193 billion during Q3 alone. At the same time, an unprecedented wave of technology company debt issuance has changed traditional market dynamics. Big tech firms are riding the AI hype and collectively raising over \$157 billion through corporate bond offerings to finance massive AI infrastructure. Oracle's \$18 billion September issuance raised over \$87 billion in demand, allowing the company to reduce pricing spreads by approximately 30 bps, while Alphabet led its first bond issuance in five years.

Despite this, the broader economic landscape is leading to concerns that are only slightly priced into the market. U.S. GDP growth has slowed to around 1.6% annualized in the first half of 2025, while Goldman Sachs projects that tariffs have added 44 bps to core inflation with more expected. This combination of slow growth and high inflation is creating an environment where corporate credit quality may decrease, which is especially risky given that current spreads offer little cushion. Looking forward, investors should carefully watch Fed communications, labor market data, and inflation readings, as stagflation risks create a situation where spread widening could change corporate bond values suddenly if economic conditions deteriorate.

LQD: +2.87% since 2025-8-1



» Shivam Chopra, Fixed Income Analyst

iShares 1–3 Year Treasury Bond ETF (SHY)

SHY tracks short-term US Treasuries, offering a window into market expectations for near-term Fed policy. Since early September, the 2-year yield has eased from 3.66% to 3.48%, lifting SHY about 0.5%. Softer inflation, a cooler labor market, reduced data visibility during the government shutdown, and liquidity shifts away from the Fed's reverse repo facility have all supported demand for short-duration paper.

Even after the rally, short-term yields remain near 3.5%, providing one of the few sources of positive real income in fixed income (headline CPI around 2.3%). The last Treasury refunding tilted toward bill issuance, reducing the amount of long-term debt investors need to absorb and helping flatten the curve.

Despite calm equity markets, SHY continues to draw steady demand as investors look for safe carry amid limited economic data. The rise in trading volumes since October shows renewed interest in shorter-term Treasuries. Rate market volatility has eased, with the ICE BoFAML MOVE Index near 69, its lowest level in over a year, signaling greater stability across Treasuries. Unless inflation surprises on the upside when data releases return, SHY should keep offering investors a dependable source of income with relatively low risk into year-end.

SHY: +0.47% since 2025-09-01



» Javad Aslanov, Fixed Income Analyst

Refinancing Limits MBS Gains Despite Lower-than-expected Inflation

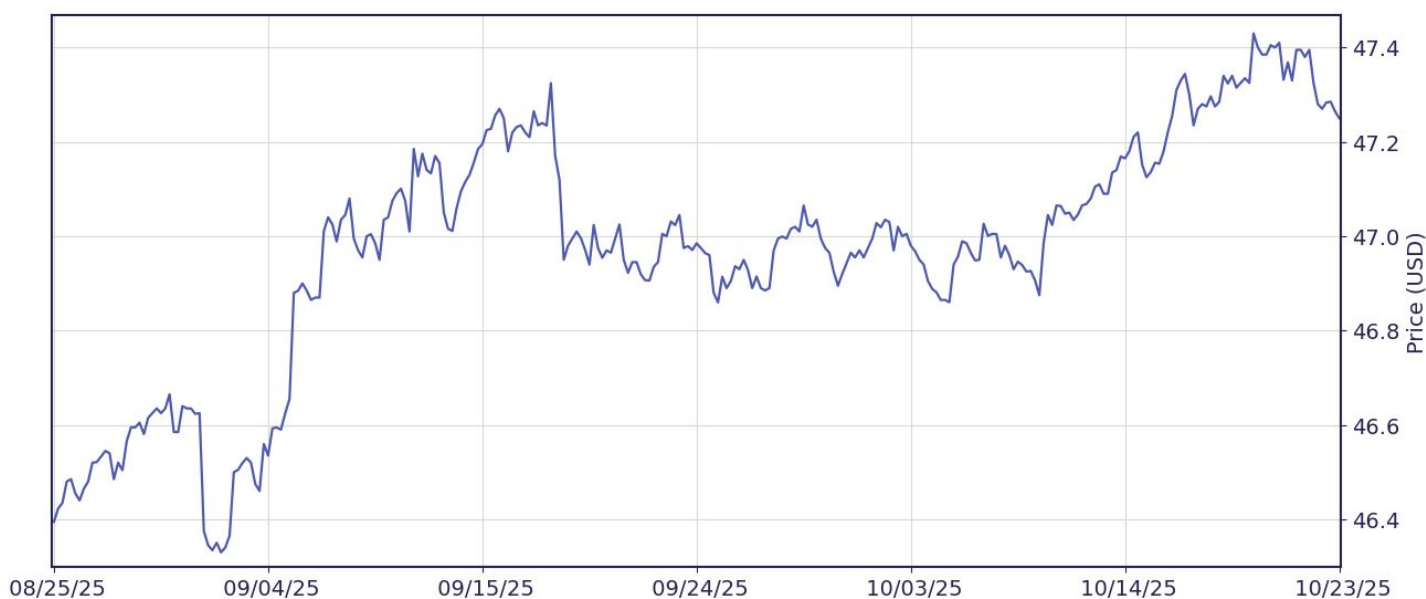
Mortgage-backed securities have gained steady traction in recent weeks as investors respond to easing inflation and rising expectations of Federal Reserve rate cuts. The VMBS ETF, which tracks agency-backed mortgage bonds, has climbed about 1.8% since late August. The September CPI report showed prices rising just 0.3%, reinforcing optimism across fixed income as declining yields make existing higher-rate bonds more attractive.

This momentum has persisted over the past two months, with VMBS gradually advancing alongside other rate-sensitive assets. Investors are favoring mortgage-backed securities for their stable, government-backed yields in a cooling inflation environment. Market sentiment now points to confidence that the Fed's tightening cycle is nearing its end, with potential rate cuts expected to further support valuations.

Still, the rally has remained moderate, limited by the structure of the mortgage market. Falling rates often prompt homeowners to refinance, paying off older, higher-rate loans early and reducing expected income from mortgage pools. This dynamic tempers gains for VMBS compared to Treasuries.

Looking ahead, the path for mortgage-backed securities will hinge on inflation data and the Fed's next moves. Continued disinflation and policy clarity could extend recent gains into year-end, though the ongoing government shutdown may delay the release of key inflation data and cloud the market's outlook.

VMBS: +1.84% since 2025-08-24



» Khalil Ben Zina, Fixed Income Analyst

Schwab Intermediate-Term U.S. Treasury ETF (SCHR)

The SCHR (Schwab Intermediate-Term U.S. Treasury ETF) is built to mirror the performance of the Bloomberg U.S. Treasury 3-10 Year Index, which consists of U.S. Treasury securities maturing between 3 and 10 years. Recent fund metrics show the ETF holds roughly US \$11.9 billion in assets and charges an expense ratio of 0.03 %. Over the year-to-date period it has achieved a return of about +6.2 % through September 2025. Investment in SCHR has benefited recently from a fall in benchmark Treasury yields, specifically, the yield on the ten-year U.S. Treasury has fallen to roughly 4.0% in mid-October 2025, down from highs above about 4.2% earlier this year.

The environment for intermediate-term Treasuries has been impacted by a number of macro-factors. A Reuters article points out that “plummeting Treasury yields indicate investors have listened to Powell loud and clear,” referring to expectations that Jerome Powell and the Federal Reserve may begin easing some monetary policy due to weakening economic data. Additionally, a commentary in the bond market noted a “flight to safety” related to concerns over bank credit exposures and stagnant growth. This has helped yields decrease, which benefited intermediate Treasuries as prices moved higher. In light of this framework, SCHR's active positioning in the 3–10 year Treasury market has allowed the fund to benefit from the lower yields while still taking on comparatively low credit risk. That said, the fund will still reflect interest-rate risk should yields reverse, as well as risk from inflation surprises, which necessitates a disciplined following of policy and economic data.

SCHR: +1.30% since 2025-8-1

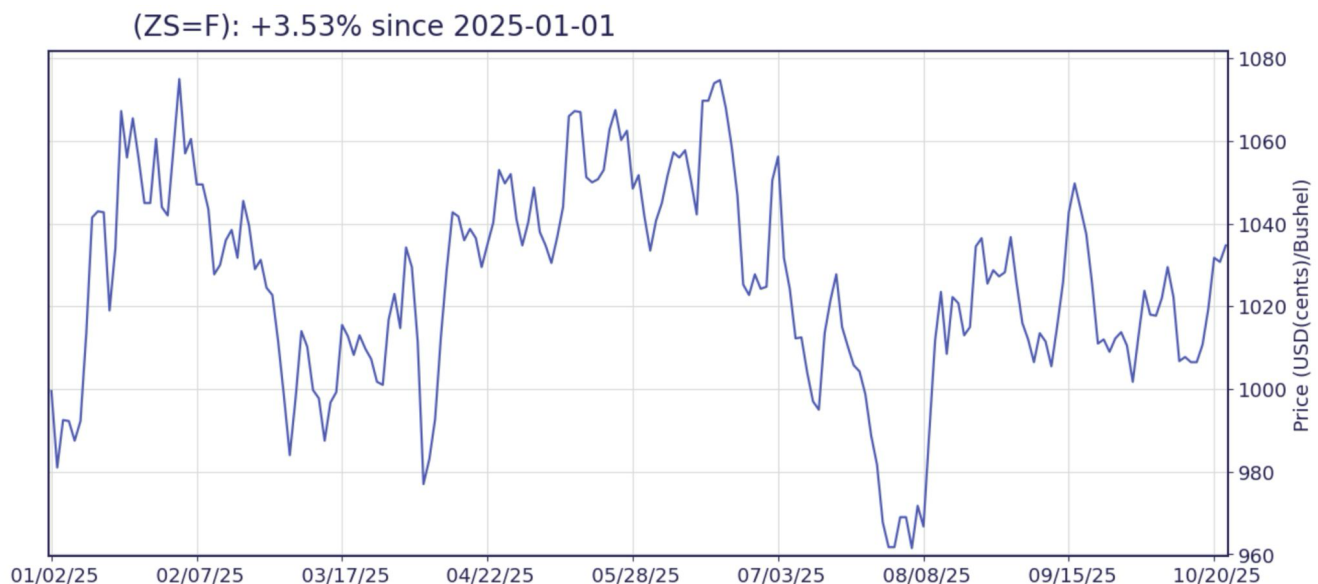


» Shruti Satheesh, Commodities Analyst

Commodity Crossroads: The Erosion of U.S. Soybean Dominance in the Chinese Market

China has been a preeminent consumer of U.S.-produced Soybeans. In 2023 and 2024, China purchased more than half of the soybeans grown in the U.S. (valued at nearly \$12.8 billion in 2024 alone). However, after the initiation of President Trump's trade disputes that began early last year, Soybean contracts between the two nations have begun to decline. The commodities market in general is highly volatile to trade barriers, specifically tariffs. Futures prices have experienced short-term volatility related to trade speculation, but they remain relatively stable under pressure from a large global supply. As of October 24th, 2025, soybeans have been traded at a rate of \$10.42 per bushel, marking a five-week high as officials indicated progress in U.S.-China trade discussions.

There have been three major concerns within the U.S. soybeans market: trade-talk developments, South American competition, and demand fluctuations (stockpiling). First, despite the positive movement in the futures prices, Soybean farmers fear the rising hostility between the U.S. and China could cause long-term catastrophic harm, forcing them to shift their focus to lower-margin domestic and non-Chinese export markets. President Trump will meet with President Xi Jinping this week to discuss trade negotiations, as U.S. farmers hope for a favorable outcome. Second, the rising tariffs have forced the world's soybean market in favor of South America, notably Argentina and Brazil, as analysts predict another record year for soybean crops. Third, Analysts predict a slight downward pressure on soybeans, with the USDA projecting the 2025-2026 season average to drop to around \$10.00 per bushel, primarily due to increased stockpiling worldwide, leaving a somewhat hopeful yet pessimistic outlook for U.S. soybean farmers.



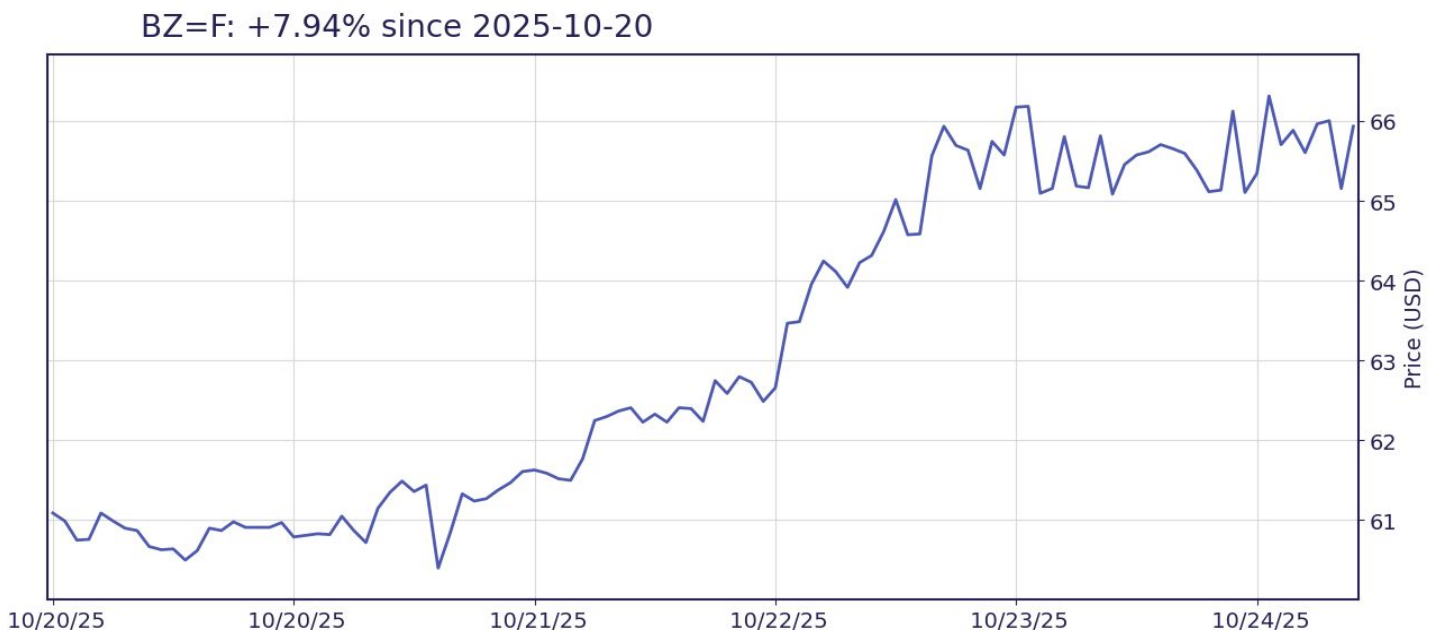
» Dev Patel, Commodities Analyst

Brent Surges 7% Amid Russian Sanctions

This past week marked a two week high in Brent oil prices, with their strongest weekly gain since June of over seven percent reaching \$65.87 per barrel as of October 26th. The upward movement in price reflects the recent global conflicts and geopolitics.

Notably, on Wednesday, with hopes to apply economic pressure to end the war in Ukraine, President Trump imposed sanctions on Russia's largest oil producers, Rosneft and Lukoil, who make up over five percent of the global supply. The announcement caused a five percent jump of the Brent benchmark, with new supply-risk sentiment. Due to fears of secondary sanction risk, India is preparing to sharply cut imports of Russian oil. Also, China has suspended purchases of seaborne Russian oil. With Russia depending highly on India and China to buy its discounted barrel, the redirection in demand puts upward pressure on Brent price.

While sanctions increase risk of tightening supply, there remains strong concerns of oversupply. Ahead of the new round of sanctions, many analysts expected a surplus in the oil market, helping damp the price response. Additionally, OPEC has suggested adjusting and increasing production to offset any shortfalls and gain market control. Due to the dual pressure, sanctions leaning bullish and oversupply leaning bearish, Brent will likely trade in a range with an upward movement rather than runaway rally.



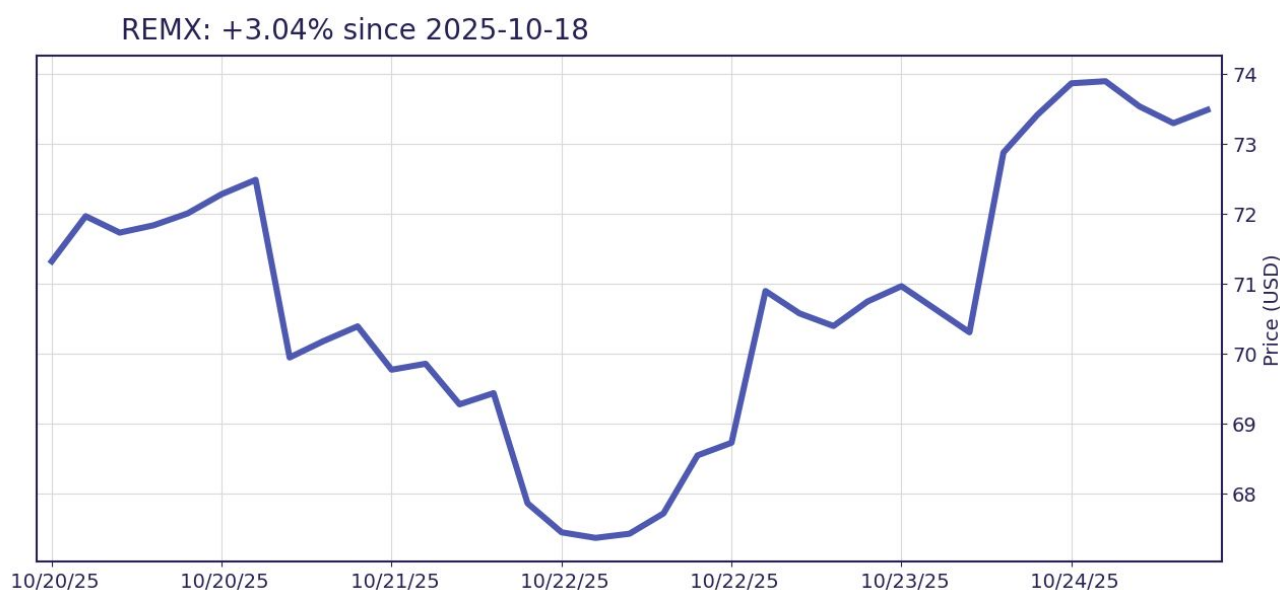
» Arnav Kumar, Commodities Analyst

Volatility in Rare Earths Market as Traders Digest Chinese Export Controls

The VanEck Rare Earth/Strategic Metals ETF (REMX) showed significant volatility this past week, ultimately closing with a 3.04% gain. After an initial, sharp dip to nearly \$67.50 midweek, the fund rallied strongly to end the week near \$74.00. The dramatic moves come as the market continues to process China's October 9th announcement of comprehensive new export controls on rare earth metals and processing technologies, set to take effect on December 1st.

The midweek sell-off was quickly reversed as investors seemingly concluded that restricting supply from the world's dominant producer is a long-term bullish signal for non-Chinese miners. This optimism in equities, which represent future earning potential, contrasted with some weakness in the physical spot market for oxides. Analysts suggest the equity rally is a forward-looking bet, pricing in a future supply crunch and higher commodity prices that would significantly boost margins for the Western producers that make up the REMX ETF.

Traders are now watching for responses from the U.S. or E.U. and for signs of accelerated investment in new, non-Chinese processing facilities, which remain the key bottleneck for the industry's supply chain. Discussions regarding retaliatory tariffs and trade agreements with other countries involved in the market are also affecting investor sentiment greatly.



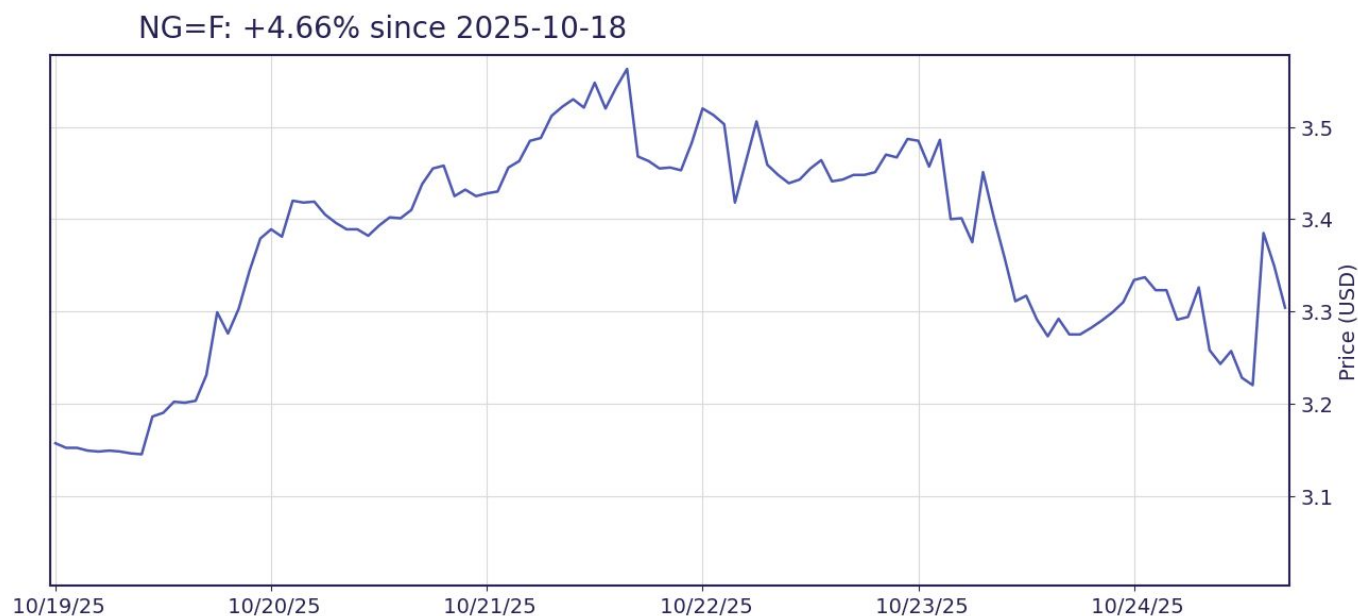
» Mohan Hegde, Commodities Analyst

Natural Gas Slips Below \$3.40 as Storage Builds Weigh on Winter Outlook

U.S. natural gas futures at Henry Hub declined to end the week, settling at just under \$3.40/MMBtu and marking renewed weakness after recent gains. Elsewhere, the NGL national spot average fell 18.0 cents to \$2.68/MMBtu, reflecting broad drawbacks across the various market hubs. The downward move came as traders digested a larger-than-expected storage report and forecasts calling for mild weather through early November.

The EIA reported an 87 Bcf injection for the week ended October 17, surpassing expectations of 83 Bcf and topping both last year's 79 Bcf increase and the five-year average of 77 Bcf. Total working gas now stands at 3,808 Bcf, roughly 0.9% above last year and 4.5% above the five-year norm, signaling a well-supplied market heading into winter. With inventories on pace to reach 3.9 Tcf by month-end, analysts note this as one of the strongest storage builds in over a decade. This elevated inventory base offers a comfortable buffer against early cold snaps and helps explain the market's negative price response.

While LNG export demand remains strong, recently setting a new monthly high, domestic production levels near 106 Bcf/d continue to offset demand growth. Weather forecasts indicate mostly near-normal temperatures through early November, keeping early heating demand subdued. In the tropics, Tropical Storm Melissa could strengthen into a hurricane, posing a potential but uncertain supply risk if it disrupts Gulf production. Looking ahead, the forward curve shows only modest winter premiums, suggesting a moderately bearish near-term outlook as high inventories and steady output cap price upside. Further out, the EIA projects prices to average around \$4.20/MMBtu in 2026, supported by expanding LNG export capacity and rising power-sector demand expected to outpace supply growth.



» Khoa Dang, Commodities Analyst

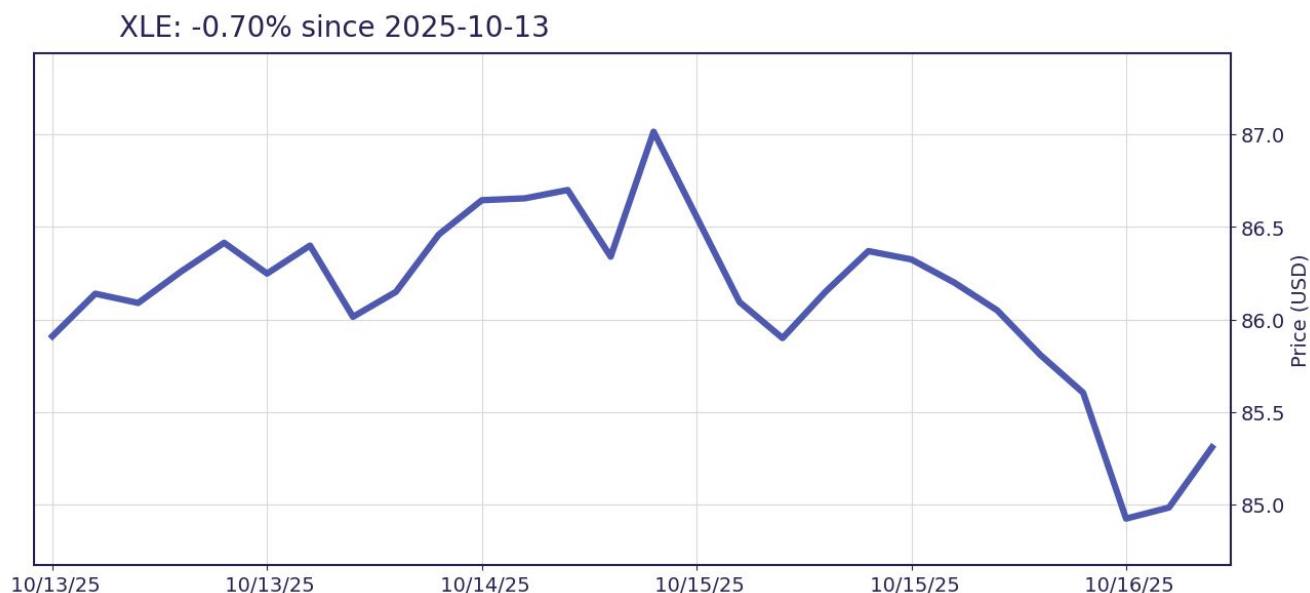
Southwest Power Pool (SPP) Shoulder Season Peak

On October 21, 2025, SPP experienced significant real-time price volatility, with prices reaching a high of \$3000/MWh and a low of -\$50/MWh. This volatility was primarily driven by wind uncertainty and generation outages. Fall is commonly referred to as the “shoulder season” because system load is lower compared to the extreme temperatures of summer and winter. Utilities take advantage of this lower demand period by scheduling planned maintenance outages to prepare their fleets for the upcoming winter. In the past week, planned generation outages have plateaued near 150 GW across major U.S. power markets.

Most fall outages occur at natural gas and oil-fired plants because these units are more susceptible to winter reliability risks such as freezing equipment and fuel supply disruptions. With natural gas capacity offline and unable to quickly ramp during declines in wind generation, the grid becomes more dependent on slower-responding coal units. This reduced flexibility can lead to price spikes when wind production suddenly drops. Conversely, during periods of high wind output and low load, negative pricing emerges as the system becomes oversupplied.

The resulting price swings throughout the operating day reflect SPP’s growing reliance on variable wind resources during the shoulder months. Maintaining price stability becomes more challenging when a large share of generation depends on weather-driven output.

To help reduce volatility going forward, SPP is advancing demand response programs and accelerating the build-out of battery storage across the region. These efforts aim to improve system flexibility, especially as new AI data center load continues to increase the need for fast-ramping resources.



» Jerry Chen, Commodities Analyst

WTI Price Recovers to \$60+ as New Sanctions Overwhelm Oversupply Fears

West Texas Intermediate (WTI) crude oil prices have demonstrated resilience, recovering sharply to the \$61-\$62/bbl range following the U.S. decision to impose new sanctions on Russia's two largest oil companies, Rosneft and Lukoil. This geopolitical escalation immediately triggered an upward price correction, as traders price in the risk of reduced Russian supply.

The current geopolitical shock is pushing against bearish fundamentals driven by record production from non-OPEC+ nations. In addition, the market is closely watching OPEC+ as there is growing speculation that key members are pivoting from a strategy of defending prices (via production cuts) to one of protecting market share by increasing production, continuing a trend of unwinding previous cuts.

Looking ahead, the Russia-Ukraine conflict remains the most significant source of price uncertainty. Any serious escalation, or tangible success in U.S. diplomatic efforts to curb Indian and Chinese purchases of Russian crude, could quickly remove barrels from the market and trigger a further increase in price. Conversely, any credible progress toward a diplomatic summit or peace agreement would likely be a bearish event, as it would remove the risk premium and allow the market to refocus on the underlying oversupply concerns and weak demand forecasts.

CL=F: +7.83% since 2025-10-20



» Gauri Sharma, Currency Sector Lead

Softer US inflation trumps BoE-cut chatter; GBP/USD nets ~1% weekly gain

The British pound advanced modestly this week, with GBP/USD gaining about 0.98 % to ~1.33, reflecting a calm but consistent upward trend. The move came as the US dollar lost some momentum following a softer-than-expected US inflation report, which fueled hopes for earlier Federal Reserve rate cuts. As Treasury yields eased, risk appetite improved, allowing the pound to edge higher through the week.

From the U.K. side, recent PMI and retail sales figures offered cautious optimism about economic resilience, suggesting that the slowdown in growth may be stabilizing. However, Bank of England rate-cut speculation still lingers, as investors weigh slowing wage growth and inflation trending closer to the BoE's 2% target. Some traders believe the BoE could move toward easing policy by early 2026, but for now, market participants appear to be positioning for a holding pattern, given mixed macro signals.

Technically, GBP/USD reclaimed the 1.33 handle, a level that now acts as short-term support and psychological pivot. A sustained push above this zone could open room toward 1.34-1.35, while a failure to hold 1.3250 might trigger a retracement toward 1.3150. The broader structure still points to gradual upward momentum, as long as U.S. yields remain capped and dollar softness continues.

Looking ahead, traders will turn their attention to upcoming U.S. PCE inflation data and remarks from BoE officials, both of which could provide clearer cues on the path of monetary policy. A dovish tilt from the Fed would likely sustain the pound's strength, while any signs of renewed U.S. economic momentum or hawkish commentary could reverse gains.

Overall, this week's advance for GBP/USD reflects more of a sentiment-driven rebound than a full-fledged structural breakout. The pair remains in a consolidation range between 1.3250 and 1.3500, with a mild bullish bias. Market direction in the coming weeks will hinge on whether the Fed's easing narrative deepens - or if renewed U.S. resilience forces investors to re-price dollar strength once again.



» Shivam Chopra, Currency Analyst

Yen Weakens Despite Looming Fed Rate Cut

Even with an imminent 25 bps rate cut (~96% probability on the CME FedWatch), the yen continues to weaken against the dollar, turning the historically positive correlation between U.S. yields and USD/JPY mildly negative. Strong U.S. tech earnings and low market volatility are keeping carry trades attractive, as investors borrow cheap yen and invest in higher-yielding assets, sustaining upward pressure on USD/JPY even in the face of potential Fed easing.

The continued softness of the yen also reflects a deeper story within Japan, political uncertainty and shifting domestic policy expectations are weighing more on the currency than short-term moves in U.S. rates. Investors have been selling yen after the appointment of Japan's new Prime Minister, who is expected to focus on pro-growth fiscal measures that could slow the BOJ's path toward tighter monetary policy. The yen's long-standing safe-haven appeal is now in question as investors move into gold and reassess Japan's tightening prospects, given the political shift and muted policy normalization from the BOJ. Looking ahead, markets expect USD/JPY to stay elevated in the near term, with any sustained yen recovery likely dependent on a clear increase in Japanese inflation or a more decisive tightening stance from the BOJ.

USDJPY=X: +3.72% since 2025-09-01



» Purvi Kathalkar, Currency Analyst

EUR/USD: US Dollar facing pressure from Euro amid Government Shutdown

The EUR/USD currency pair has drifted lower over the course of October, mainly hovering below the 1.170 mark.

Overall, the USD has seen a bit of a decline in the past few weeks. On the other hand, the European Central Bank (ECB) has suggested fewer imminent rate cuts, slightly lifting the euro. Daily foreign-exchange data show the euro quoted around 1.1608-1.1674 in mid-October. Earlier expectations had initially leaned toward rate cuts from the Federal Reserve, which may have weakened investor's confidence and contributed to the USD's performance at the start of the month.

Additionally, the government shutdown in the United States has disrupted the release of critical economic data, raising concerns and creating uncertainty for investors. This increases the possibility of Fed rate cuts, which will counter the USD. Similarly, political unrest in France as well as some other European countries has made the euro seem more vulnerable, causing investors to seek safer assets amidst these uncertainties.

In the near future, EUR/USD will likely remain around the same zone (1.1600-1.1700). One should consider governmental factors in both the United States and European countries as well as newer trade/foreign policies. However, a break above 1.1700 would require a clear shift in either the Fed's or the ECB's policies.

EUR/USD

EURUSD=X: -0.91% since 2025-10-01



» Kavya Adusumilli, Currency Analyst

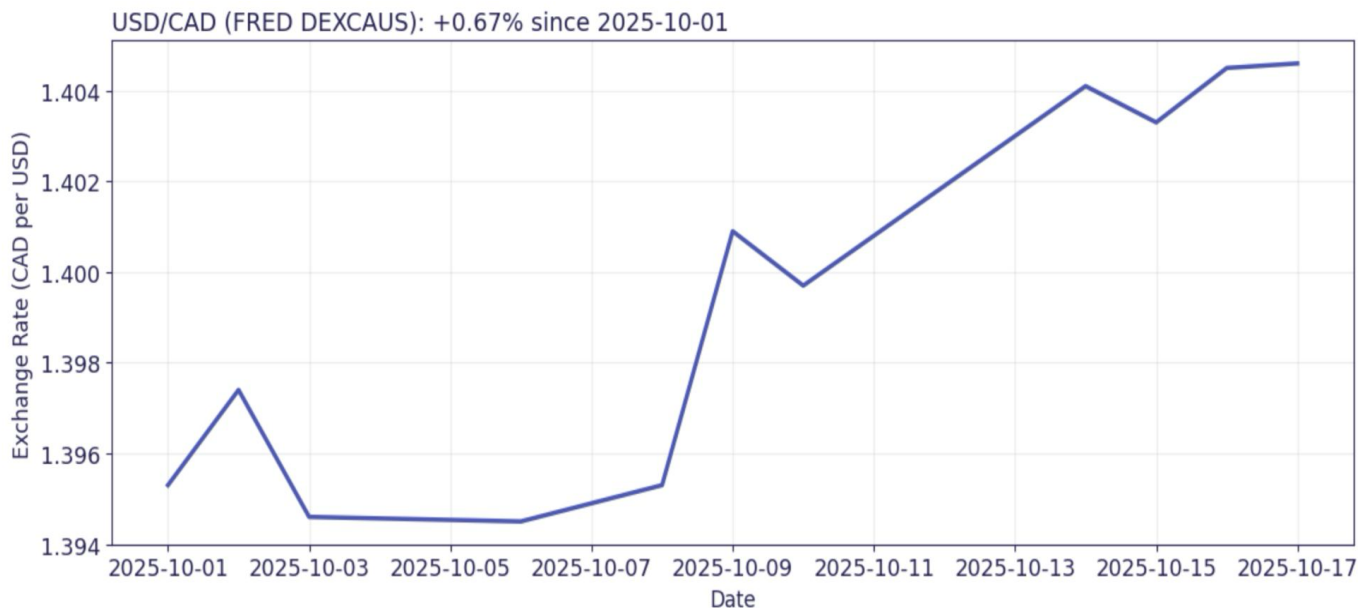
USD/CAD: Canadian Dollar Weakens Past 1.40 amid Oil Decline and Rate Cut Expectations

The U.S. dollar increased against the Canadian dollar on Friday, with USD/CAD surpassing the 1.40 mark as the loonie hit its lowest point in the past six months. The dollar improved overall, while currencies tied to commodities faced pressure due to cautious global risk sentiment.

Oil prices declined, bringing the U.S. crude down almost by 1.8% for the session. This added increased strain on Canada's resource-based economy. Also at this same time, September CPI data revealed the inflation rate rising to 2.4% year-over-year. Although the yield gap with U.S. Treasuries slightly decreased, it didn't do much to help boost the CAD.

Market expectations for a potential Bank of Canada rate cut sharply in comparison to the Federal Reserve which had a steadier approach. Therefore, the rate gap continues to widen in favor of the USD. When you add in slower export growth and lower energy revenue, it's clear why the Canadian dollar is having a tough time.

Looking ahead, USD/CAD could approach the 1.41 to 1.42 range if risk sentiment remains low and oil prices stay under pressure. For the loonie to make a significant recovery, we'd need to see a rebound in commodities or a more hawkish shift from the Bank of Canada.



» Dev Chandarana, Currency Analyst

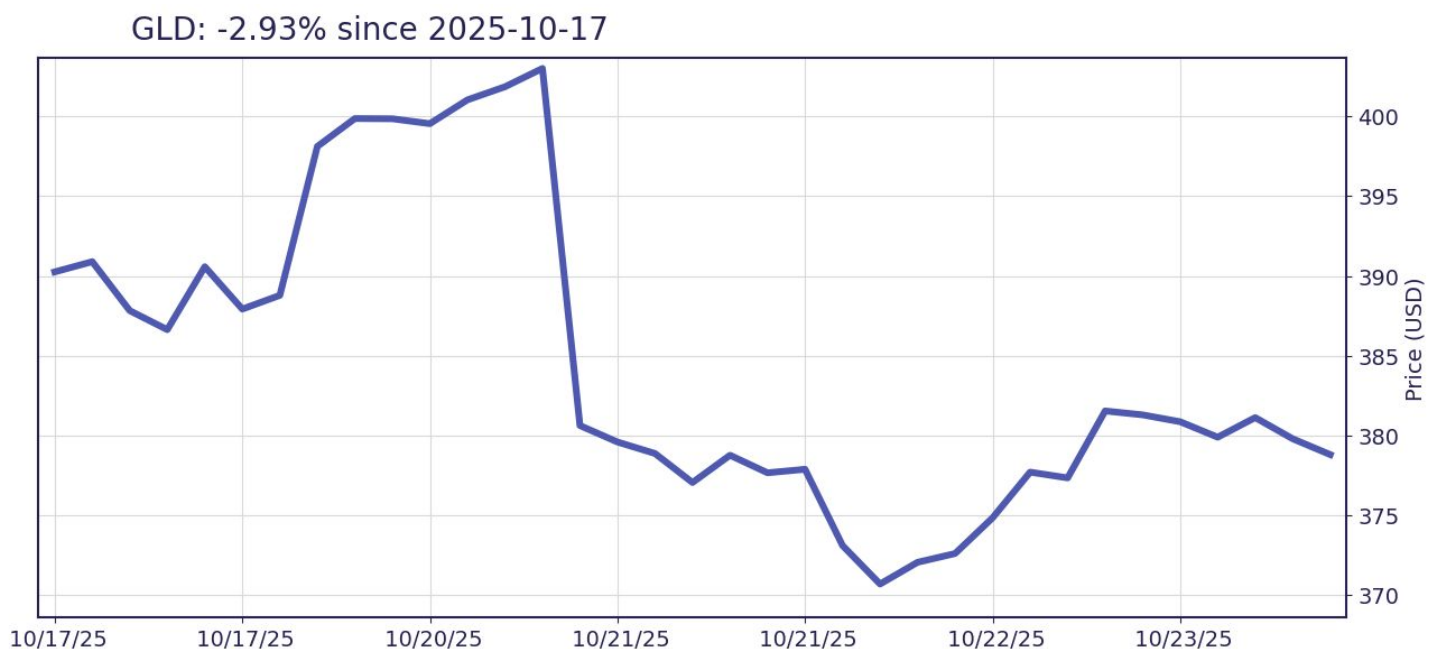
XAU/USD: Gold Pulls Back from Record Highs amid Dollar Strength and Profit-Taking

After reaching an all-time high near \$4,381 per ounce earlier this week, gold (XAU/USD) experienced a sharp decline, dropping approximately 5 - 6% from its peak. This marked its first significant correction following nine consecutive weeks of gains. Despite the pullback, gold remains historically elevated, continuing to attract interest from central banks and investors seeking safe-haven assets.

The decline came primarily due to widespread profit-taking after the metal's rapid ascent. Traders who had positioned themselves ahead of record highs began unwinding their holdings, contributing to the sudden drop. At the same time, the US Dollar showed signs of recovery, which reduced gold's appeal as an alternative asset. Improved sentiment in equity markets also prompted some investors to rotate capital away from commodities, further weighing on prices.

Market participants are also exercising caution ahead of key US economic data releases and the upcoming Federal Reserve policy announcements. These events are expected to influence interest rate expectations, and any indication of tighter policy could limit gold's near-term upside.

In conclusion, XAU/USD's recent drop appears to be a natural correction following an extended rally rather than a structural reversal. The metal remains well-positioned as a hedge amid global uncertainty, but the next moves will likely depend on the US Dollar's trajectory and Federal Reserve signals. Near-term trading is expected to consolidate within a range of approximately \$4,000-\$4,350, while a return above \$4,380 could trigger renewed bullish momentum toward new highs.



>> Disclaimer

All views and opinions are the analysts' own. This is a student-run publication that does not represent any financial or investment advice. The information provided in this report is for educational and informational purposes only. It should not be construed as investment, financial, or trading advice. The content is based on sources believed to be reliable, but we do not guarantee its accuracy, completeness, or suitability for any particular purpose.

Investing and trading in financial markets involves risk. Readers are encouraged to conduct their own research and consult with a qualified financial advisor before making any investment decisions. The publication and Trading Club at Georgia Tech do not claim any responsibility for any risk associated with trading.